

108	Orange County Transportation Authority vs. M. Westland, LLC, a Delaware limited liability company 2018-00994118	1. Motion for Ruling on Legal Issue no.1 (ROA 508) 2. Motion for Ruling on Legal Issue no.2 (ROA 499) 3. Motion to Decide Evidentiary & Legal Issues (ROA 504) ISSUE #1 (Cross-Motions re 1960 ROW/Drainage Obligations) The parties have filed competing motions under Code of Civil Procedure (CCP) section 1260.040 asking the Court to address overlapping legal issues affecting compensation. Both motions are CONTINUED to October 29, 2026, at 2:00 p.m. in Department CX102 to allow for limited supplemental briefing, as explained and described below. The two motions are: 1. Plaintiff Orange County Transportation Authority's ("OCTA") Motion for Ruling on Legal Issue Affecting Compensation Under Code of Civil Procedure Section 1260.040 (No. 1) (ROA #508); and 2. Defendants (1) Dorothy Sublett-Miller and Walter J. Miller, Successor Trustees of the Miller Family Trust, originally dated October 12, 1979, Amended and Restated February 05, 2004, for the estate of Willis L. Miller, deceased, as to an undivided ½ interest; (2) Dorothy Sublett-Miller and Walter J. Miller, Successor Trustees of the Miller Family Trust, originally dated October 12, 1979, Amended and Restated February 05, 2004, for the estate of Dorothy M. Miller, deceased, as to an undivided ½ interest; and (3) Land Partners, LLC, a California limited liability company formerly known as Land Partners Co., Ltd.'s (collectively, "Miller Defendants") Motion to Decide Evidentiary and Legal Issues Affecting Compensation Pursuant to C.C.P. § 1260.040 (ROA #504). Plaintiff OCTA moves the Court to issue rulings pursuant to Code of Civil Procedure section 1260.040 on the following two issues: 1. Whether the term "accept," as used in Paragraph 12 of the circa 1960 Right of Way Contract – State Highway ("1960 Agreement"), requires only that Caltrans/OCTA provide drainage capacity sufficient to accommodate the discharge flows and discharge locations identified in the Voorheis, Trindle & Nelson study that formed the basis of the 1960 Agreement; and 2. Whether the term "accept," as used in Paragraph 12 of the circa 1960 Agreement, imposes any obligation on Caltrans/OCTA to design, construct, or maintain drainage facilities capable of accommodating runoff associated with a 100-year storm event without flooding, ponding, backup, or overflow onto the Miller or Westland Properties.
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		(ROA #508, OCTA’s Not. of Mot. & Mot., pp. 2-3.) OCTA seeks the following alternative rulings from the Court: • If the subterranean drainage system installed as part of the Project can accommodate the flows indicated in the VTN Study at the discharge locations indicated therein, there is no impairment of the owner’s rights under the 1960 Agreement. • <i>Alternatively</i>, designing the state drainage system to accommodate a 25-year design storm on the Miller and Westland properties meets the requirements in the 1960 Agreement. (ROA #508, OCTA’s Mot. P&A at p. 12.) The Miller Defendants move the Court to issue rulings pursuant to Code of Civil Procedure section 1260.040 on the following two issues: 1. The meaning of the word “accept” as used in paragraph 12 of the Right-of-Way Contract—State Highway, dated March 28, 1960, by and between the MILLER FAMILY’s matriarch and predecessor-in-interest, Dorothy H. Miller, on the one hand, and Stuart L. Hill, the State of California’s (“STATE”) “Right-of-way” agent, on the other (“ROW”).¹ 2. The rainfall standard the STATE, its agents, cotnractors and subcontractors were and are now legally bound to adhere to in designing, building and maintaining the freeway drainage system at issue. The Miller Defendants seek the following ruling from the Court: • The word “accept” in this context is clear and unambiguous on its face and requires the STATE to receive all surface drainage water flowing from the MILLER FAMILY’s property onto the STATE highway right-of-way for the present-day San Diego Freeway (I-405). • The STATE was and is required to adhere to the standard set forth in the Orange County Hydrology Manual and the Orange County Local Drainage Manual (2nd Edition) specifying that offsite drainage systems servicing habitable structures must be designed based on estimates of peak discharges and volumes of storm water runoff for the design of flood control facilities and floodplain determination, and that the primary goal is to provide 100-year flood protection for all habitable structures.
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¹ What the Miller Defendants refer to as the “ROW” is the same thing as what OCTA refers to as the “1960 Agreement.” The Court shall refer to it as the “1960 Agreement.”

(ROA #504, Ds’ Not. of Mot. & Mot., p. 3.)

The key provision at issue in the parties’ motions is ¶ 12 of the 1960 Agreement, which provides:

12. Whereas, it is generally agreed that surface drainage water on grantor’s remaining property and on the property mentioned in Paragraph 8, above, normally flows from the northeast to the southwest in a general direction toward the proposed freeway:

Therefore, it is understood and agreed by and between the parties hereto, that the State agrees to **accept drainage** onto the State highway right-of-way from grantor’s property at the following points as indicated in orange on Sketch No. 1 attached hereto and made a part hereof:

- A. Opposite Station 277+65
- B. Opposite Station 283+60
- C. Opposite Station 292+00

It is further understood and agreed that at these various points of acceptance the **drainage** shall only be **accepted** along an area ten (10) feet in width on either side of points A and C along the right-of-way line; and that **drainage** shall be **accepted** at point B to the width of thirty (30) feet.

(ROA #534 [Averett Decl.], Exh. 1 [1960 Agreement] at ¶ 12, emphases added.)

According to both motions, the parties dispute the meaning of the word “accept” as used in the 1960 Agreement. (OCTA’s Mot. P&A at p. 7; Ds’ Mot. P&A at p. 15.)

Based on the differences in the rulings that each side seeks in these motions, it appears that the focus of the parties’ dispute is the *amount* of “drainage” the State was obligated to accept under ¶ 12. (See, e.g., ROA #525 [OCTA’s Opp.], p. 8, emphasis original [“the question that controls this dispute[is] namely what is the *scope* of that duty—i.e., what quantity of drainage must be accepted, under what conditions, and according to what standard?”].) Therefore, although the parties contend their dispute is over whether the word “accept” is ambiguous, the real issue appears to be whether the word “drainage” in ¶ 12 is ambiguous.

In any case, in proffering their differing interpretations of ¶ 12, both sides appear to agree that the Court should consider the historical context of California law back in 1960 when the 1960 Agreement was executed. (OCTA’s Mot. P&A at p. 10; ROA 527 [Ds’ Opp.], pp. 10-11; ROA #542 [Ds’ Reply], p. 10.) Indeed, “[a]s a general rule, all

		applicable laws in existence when an agreement is made, which laws the parties are presumed to know and to have had in mind, necessarily enter into the contract and form a part of it, without any stipulation to that effect, as if they were expressly referred to and incorporated.” (Swenson v. File (1970) 3 Cal.3d 389, 393, internal quotes omitted.) But importantly, in its initial moving brief, OCTA contended that “[a]gainst that backdrop, it is unlikely that Caltrans intended to undertake a perpetual and open-ended drainage obligation.” (OCTA’s Mot. P&A, p. 10.) OCTA described that legal “backdrop” as follows: Prior to <i>Keys v. Romley</i> (1966) 64 Cal.2d 396, California law concerning the respective rights of upstream and downstream landowners was unsettled. Courts at times applied aspects of the "common enemy" doctrine, under which landowners possessed broad rights to protect their property from surface water, in essence providing an absolute right of downstream owners to reject upstream flows. (Id. at p. 401.) (Id.) OCTA’s characterization of California water law as it existed in 1960 before <i>Keys</i> is directly at odds with how the high court in <i>Keys</i> summarized it: There are three basic rules governing surface waters followed in the United States, although each rule has an infinite number of variations. The first is the <i>common enemy doctrine</i>. Stated in its extreme form, the common enemy doctrine holds that as an incident to the use of his own property, each landowner has an unqualified right, by operations on his own land, to fend off surface waters as he sees fit without being required to take into account the consequences to other landowners, who have the right to protect themselves as best they can. . . . The second rule governing surface waters is known as the <i>civil law rule</i>. Diametrically opposed to the common enemy doctrine is the basic civil law rule which recognizes a servitude of natural drainage as between adjoining lands, so that the lower owner must accept the surface water which drains onto his land but, on the other hand, the upper owner has no right to alter the natural system of drainage so as to increase the burden. . . . “[T]he civil law rule ... is that a person who interferes with the <i>natural</i> flow of surface waters so as to
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		cause an invasion of another's interests in the use and enjoyment of his land is subject to liability to the other.” The rule finds its justification in the concept that those purchasing or otherwise acquiring land should expect and be required to accept it subject to the burdens of natural drainage. It has the advantage that rights thereunder are readily predictable, and thus tends to avoid the contests likely to occur under the common enemy doctrine. ... The third surface water doctrine is generally known as the <i>rule of reasonable use</i>. A few jurisdictions, finding it undesirable to apply either the civil law or common enemy doctrines in their rigid or extreme forms, have evolved a rule of reasonable use which attempts to determine the rights of the parties with respect to the disposition of surface waters by an assessment of all the relevant factors. ... The rights and liabilities of adjoining landowners in California with respect to the flow of surface waters, have generally been determined by the rule of civil law, <i>aqua currit et debet currere ut currere solebat</i>. The civil law rule was first adopted by the Supreme Court of California in 1873 . . . Under our civil law rule the owner of an upper, or dominant, estate is entitled to discharge surface water from his land as the water naturally flows. As a corollary to this, the upper owner is liable for any damage he causes to adjacent property by the discharge of water in an unnatural manner. In essence, each property owner's duty is to leave the natural flow of surface water undisturbed. The civil law rule has not been universally accepted in its application to urban land; and as a result it has been suggested in the cases that an undefined exception to the rule exists in California with respect to urban land. Since defendants here have made a similar contention on appeal, we find it appropriate to examine the California law of surface waters and to ascertain whether it remains adaptable to the current milieu. ... Thus we are urged to consider the reasonable use rule as an attempt to cope with the problem through the use of tort rather than property concepts. Adherents of the reasonable use rule have criticized both the civil law rule and the common enemy
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rule as being too rigid and inflexible, unjust in many cases, and inappropriate in view of the complex modern development of land in urban areas.

While these criticisms may validly apply to both rules, **we need not consider the common enemy rule for it has never been followed in California, and, in fact, was summarily rejected nearly a century ago in *Ogburn v. Connor* (1873) *supra*, 46 Cal. 346, 352.** However, we must examine the civil law rule to determine whether it has the shortcomings charged.

(*Keys, supra*, 64 Cal.2d at pp. 400, 402-403, 405-406, internal citations omitted, italics original, bolding added.)

Therefore, there is **zero support** for OCTA’s contention in its initial moving brief that California followed the common enemy rule in 1960 prior to the *Keys* decision—in fact, the opposite is true. Rather, the prevailing rule in California in 1960 was the civil law rule, under which “the owner of an upper, or dominant, estate is entitled to discharge surface water from his land as the water naturally flows,” and “the lower owner must accept the surface water which drains onto his land,” “each property owner’s duty is to leave the natural flow of surface water undisturbed,” and “a person who interferes with the *natural* flow of surface waters so as to cause an invasion of another’s interests in the use and enjoyment of his land is subject to liability to the other.” (*Keys, supra*, 64 Cal.2d at pp. 402, 405-406, internal quotes omitted, italics original.)

Accordingly, the Court **ADMONISHES** OCTA’s counsel for its misrepresentation of California law in its initial moving brief.

Importantly, not only did OCTA cite and rely on the completely incorrect general rule for surface water rights, OCTA also **did not cite any other authorities on the correct legal context in 1960** with respect to the State’s and Ms. Miller’s rights on this front.

Accordingly, in their opposition to OCTA’s motion, the Miller Defendants focused on demonstrating that the common enemy rule was not the prevailing standard as OCTA contended and what the civil law rule was. (See Ds’ Opp. at pp. 10-11.) The Miller Defendants thus cited numerous cases predating *Keys* indicating that under the civil law rule, “[i]t is thoroughly settled in California that the owner of the upper or dominant estate has a legal and natural easement or servitude in the lower or servient estate to discharge **all** surface waters naturally falling or accumulating on his land, upon or over the land of the servient owner in the manner in which they would naturally flow from a higher to a lower level and that the owner of the lower estate is answerable in damages for any injury which may be caused to the upper estate by reason of obstructions which he has placed in the way of such natural flow, thus causing it to back up or remain on the land of the upper proprietor.” (*Id.* at pp. 11-13, quoting *Le Brun v. Richards* (1930) 210 Cal. 308, 313-314, emphasis added.)

In reply, OCTA completely changed its tune on what is the correct legal context in 1960. Although OCTA does not directly admit that its description of California law predating *Keys* was incorrect in its initial moving brief, OCTA now argues that the correct law “directly applicable to public highways” is set forth in **two cases OCTA never cited in its moving brief but cited for the first time only in its reply brief.** (ROA #536 [OCTA’s Reply], pp. 4-5, citing *O’Hara v. Los Angeles County Flood Control Dist.* (1941) 19 Cal.2d 61, 63-64; *People ex rel. Dept. of Public Works v. Lindskog* (1961) 195 Cal.App.2d 582, 588–589.) OCTA contends that “under the law existing when the 1960 Agreement was executed, the State could have categorically rejected surface runoff from the Miller and Westland Properties” (*id.* at p. 4) because in *O’Hara*, the California Supreme Court held that “[a] governmental agency, . . . in constructing public improvements such as streets and highways, may validly exercise its ‘police power’ to obstruct the flow of surface waters not running in a natural channel without making compensation for the resulting damage” (*O’Hara, supra*, 19 Cal.2d at p. 63). OCTA also contends that under *Lindskog*, “the State could obstruct surface waters not running in a natural channel without compensation the upstream owner.” (OCTA’s Reply at p. 18.)

“Points raised for the first time in a reply brief will ordinarily not be considered, because such consideration would deprive the respondent of an opportunity to counter the argument. Obvious reasons of fairness militate against consideration of an issue raised initially in the reply brief of a[party]. Obvious considerations of fairness in argument demand that the [moving party] present all of his points in the opening brief. To withhold a point until the closing brief would deprive the respondent of his opportunity to answer it or require the effort and delay of an additional brief by permission. Hence the rule is that points raised in the reply brief for the first time will not be considered, unless good reason is shown for failure to present them before.” (*Reichardt v. Hoffman* (1997) 52 Cal.App.4th 754, 764, internal quotes & citations omitted.)

Ultimately, both parties agree that the applicable historical 1960 legal context is relevant to the Court’s interpretation of ¶ 12 of the 1960 Agreement. Therefore, the Miller Defendants should be given an opportunity to respond to these new authorities cited for the first time in OCTA’s reply brief.

Thus, so that the Miller Defendants are not prejudiced by OCTA’s failure to set forth what it contends is the correct rule “directly applicable to public highways” in OCTA’s initial moving papers, and so that the Court can have the benefit of the parties’ analysis on all the relevant rules applicable to resolution of the instant motions, **the Court CONTINUES the motion and ORDERS that the Miller Defendants may submit a surreply of no more than 10 pages total to address these new authorities cited in OCTA’s reply on this point (i.e., *O’Hara* and *Lindskog*).**

In opposition to OCTA’s motion, the Miller Defendants also rely on their own extrinsic evidence consisting of “copies of grant deeds the State executed with neighboring landowners whose properties were concurrently condemned or acquired under threat of condemnation for the I-405’s construction.” (Ds’ Opp. at p. 13, citing Averett Decl., ¶¶ 4-15, Exhs. 2-11.)

According to the Miller Defendants, “[m]any” of these other grant deeds “contain a clause substantially identical to” the following:

The grantor understands that the present intention of the grantee is to construct and maintain a public highway on the lands herein conveyed in fee and the grantor, for himself, his successors and assigns, hereby waives any claims for any and all damages to grantor’s remaining property contiguous to the property herein conveyed by reason of the location, construction, landscaping or maintenance of said highway.

(*Id.*, citing Averett Decl., Exhs. 2-11.) The Miller Defendants contend that “[t]he inclusion of this repetitive clause in some, but not all, the deeds proves the State knew how to protect itself against, among other things, *California’s long-settled law requiring it to prevent flooding of uphill properties.*” (*Id.* at p. 14, emphasis added.)

However, this argument does not adequately take into account the new authorities cited by OCTA in its reply brief (*O’Hara* and *Lindskog*). **Therefore, the Miller Defendants’ surreply (still limited to a total of 10 pages) may also update their arguments on this extrinsic evidence in light of OCTA’s citation of *O’Hara* and *Lindskog* in OCTA’s reply brief.**

Additionally, in its initial moving brief, OCTA cited Civil Code section 1069. Section 1069 provides that “[a] grant is to be interpreted in favor of the grantee, except that a reservation in any grant, and every grant by a public officer or body, as such, to a private party, is to be interpreted in favor of the grantor.”

In its initial moving brief, OCTA briefly argues **in 2 short paragraphs** that Section 1069 favors a limited interpretation of ¶ 12 in favor of the State—**without citing any legal authority other than Section 1069’s statutory language.** (OCTA’s Mot. P&A at p. 8.) OCTA’s argument is less than clear as phrased, but OCTA appears to interpret ¶ 12’s “accept drainage” provision as constituting a “grant by a public . . . body, as such, to a private party,” which then must be “interpreted in favor of the grantor,” i.e., the State. OCTA thus contends that the Court should interpret the term “accept” narrowly to require only a “passive duty to not reject water” and not to “judicially impose an affirmative duty or guarantee of drainage performance.” (*Id.*) OCTA also contends that the Court should reject any interpretation that “impose[s] broad, changing, or perpetual drainage

obligations absent clear contractual language establishing such duties.” (*Id.*)

In opposition, the Miller Defendants contend that Section 1069’s public grant provision does not apply here because the 1960 Agreement itself refers to Dorothy H. Miller as the “[g]rantor” of the subject “right of way.” (Opp. at p. 15, citing 1960 Agreement at p. 1.) The Miller Defendants characterize “[t]he State’s promise to ‘accept drainage’ [] as simply part of the *consideration* paid for that conveyance.” (*Id.*, emphasis added.) **The Miller Defendants also cite no authorities** in support of this argument, which consisted of one short paragraph. (*Id.*)

In its reply brief, OCTA finally fleshes out more of its Section 1069 argument by contending that the Miller Defendants’ counterargument “misses the point” because:

As part of that same Agreement, the State made a promise running in the opposite direction: it agreed to "accept" drainage. Under Defendants' own theory, that promise gave the Miller and Westland properties an affirmative and continuing right to discharge water onto or through State property. In substance, the State granted back to the Miller Family a drainage easement or comparable property interest of some scope. The scope of that interest is precisely what the Court is now being asked to determine.

(OCTA’s Reply at p. 5.)

Also, **for the first time, OCTA cites *Red Mountain, LLC v. Fallbrook Public Utility Dist.* (2006) 143 Cal.App.4th 333** in support of its position that Section 1069’s public grant provision applies to ¶ 12. (*Id.* at pp. 5-6.) OCTA contends that *Red Mountain* is “particularly instructive” and “closely analogous here.” (*Id.*)

To the extent that OCTA relies upon *Red Mountain* for its Section 1069 argument, OCTA should have cited to it in its initial moving papers and should not have waited until the reply brief to cite this authority. The Court also recognizes that OCTA cited *Red Mountain* in its opposition to the Miller Defendants’ motion. (See OCTA’s Opp. at p. 12.) However, that citation was limited, and OCTA’s entire argument on Section 1069 in this opposition brief consisted of one paragraph. (*Id.*) In contrast, OCTA’s detailed discussion of *Red Mountain* and its Section 1069 argument in its reply in support of its own motion consisted of nearly 2 whole pages. (OCTA’s Reply at pp. 5-7.) Ultimately, OCTA was the one who raised the Section 1069 argument in the first place, and it did so in its initial moving brief. So OCTA should have included its detailed discussion of *Red Mountain* in that brief and not waited until its reply brief to do so, thereby depriving the Miller Defendants the opportunity to fully address this authority. **Accordingly, the Miller Defendants’ surreply (still limited to a total of 10 pages) may also respond to *Red Mountain***

		as a new authority cited in OCTA’s reply on the application of Section 1069. To confirm, the Miller Defendants’ surreply should not address any issues beyond the discrete issues identified in this ruling, which focus on only new arguments and authorities cited in OCTA’s reply brief, so that the Miller Defendants have an adequate opportunity to respond to those arguments. The Miller Defendants must file any surreply at least 9 court days before the continued hearing on this matter. OCTA shall give notice of this ruling. ISSUE #2 (Re Limitation of Evidence re Flooding) Plaintiff Orange County Transportation Authority (“OCTA”) has also filed a Motion for Ruling on Legal Issue Affecting Compensation Under Code of Civil Procedure Section 1260.040 (No. 2). (ROA #499.) As the parties previously stipulated that all three of the parties’ motions raise “same and/or substantially similar legal issues,” and “the Parties believe it is in their best interests, as well as to promote judicial efficiency, that the motions are heard at the same date and time” (ROA #521), the Court also CONTINUES this motion to October 29 at 2:00 p.m. in Department CX102. OCTA shall give notice of this ruling.
109	Gonzalez vs. Bear Down Brands, LLC 2023-01340515	Motion for Preliminary Approval of Class/PAGA Settlement The Court has reviewed the supplemental materials provided by Class Counsel and finds that they adequately address the previously identified issues. But the Court has identified a minor new issue that must be addressed. Accordingly, Plaintiff Nicolas Gonzalez’s Motion for Preliminary Approval of Class Action and PAGA Settlement is CONDITIONALLY GRANTED, pending submission of a further revised Class Notice and Proposed Order Granting Preliminary Approval. This is a putative wage-and-hour class action and PAGA matter. On 8/7/2023, Plaintiff Nicolas Gonzalez, individually and on behalf of all others similarly situated, filed a class action and PAGA complaint against Defendant Bear Down Brands, LLC, alleging various Labor Code wage-and-hour violations and unfair business practices, including a claim for PAGA penalties. (ROA #2.) Defendant answered on 11/8/2023. (ROA #13.) On 1/8/2026, Plaintiff filed the instant Motion for Preliminary Approval of the Class Action and PAGA Settlement, and submitted the Class/PAGA Action Settlement Agreement and Class Notice for